

The Path to Success is Paved with Mistakes

You have a property you're looking to rent out, Congrats! Passive income is a powerful wealth builder. But there are a few common mistakes that I've made myself and want to help you avoid.

1. Under or over pricing your rentals

How do you set the rental price on your property? If you don't have a system or good data, this can put you and your cash flow at risk. When your house sits vacant because of overpricing, your cash flow suffers. When your property is underpriced for the local market, you miss out, as well.

2. Living far away from your rental property

When setting up a rental, you're going to spend a lot of time there (or pay someone else to!) preparing it for new tenants and meeting prospective tenants to show them the property. Living an hour or more away means long days and nights or missed opportunities. Once you have tenants in place, travel to the property is minimal, which is good news!

3. Underestimating the amount of communication involved in being a landlord

Once tenants are in place, you are the one who will receive every phone call and message from the tenants. If you think you won't hear from them much or at all, this can be a mistake that affects your patience and sanity. Communication with contractors and vendors can also be a laborious, time sucking activity.

4. Misunderstanding Landlord/Tenant Laws in North Carolina

Ignorance of the law is no excuse for not following it!

5. Leaving your rent the same year after year

You may be tempted to reward good tenants with the same rate they've been paying, but market rents in the area can and will change over a year and need to be reevaluated. Also, psychology tells us that when people feel they're underpaying for something, they tend to undervalue it. Humans are interesting creatures.

6. Having no systems in place

Setting up accounting, conducting tenant screening, marketing the property and having relationships with reliable contractors takes time, effort, experience and trusted systems. Without these vital components, a landlord will be scrambling and will make mistakes and this causes lost revenue over time.

Good luck out there and happy wealth building!

Love, Jenn



Jennifer Tapia, Property Manager
910-922-6519
verdantprop1@gmail.com
verdantprop.com